

## 25STCV34434 25STCV34434

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-06-26

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Case Number: 25STCV34434 Hearing Date: June 26, 2026 Dept: 11

Correa-Perez

(25STCV34434)

Tentative Ruling Re:

Motions to Compel Arbitration

Date: 6/26/26

Time: 11:00 am

Moving

Party: Pirate California

Holdings, LLC dba Pirate Staffing ("Pirate") and Matthews Gibraltar Mausoleum  
& Construction Co. ("Matthews")

Opposing

Party: Christian Correa-Perez

("Plaintiff")

Department: 11

Judge: Bruce G. Iwasaki

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TENTATIVE RULING

The Court:

\* grants Pirate's motion to compel arbitration;

\* grants Matthews's motion to compel arbitration;

\* strikes the class claims; and

\* stays the case as to Plaintiff's representative claim under the Private Attorneys General Act ("PAGA") pending completion of the arbitration.

## BACKGROUND

This is a putative class action. Pirate, a staffing agency, assigned Plaintiff to work for Matthews at a cemetery.

Plaintiff alleges that Pirate and Matthews subjected him and other current and former employees to multiple wage-and-hour violations.

Here, Pirate and Matthews move to compel Plaintiff's individual claims to arbitration pursuant to Pirate's arbitration agreement.

## DISCUSSION

It is uncontested that:

\* an agreement to arbitrate exists;

\* the agreement covers Plaintiff's non-PAGA claims;  
and

\* the Federal Arbitration Act ("FAA") governs.

However, Plaintiff contends the agreement is unconscionable, the PAGA claims (individual and representative) cannot be arbitrated, and Matthews cannot enforce the agreement.

Unconscionability and  
Enforcement

Unconscionability is a contract defense that can be utilized to

“invalidate [an] arbitration agreement[].”

(Torrecillas v. Fitness International, LLC (2020) 52 Cal.App.5th 485, 492.) Courts apply state law to

test whether the agreement is unconscionable.

(See, e.g., Lagatree v. Luce, Forward, Hamilton & Scripps (1999) 74 Cal.App.4th 1105, 1119.)

“[U]nconscionability has both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114, internal quotation marks omitted.) “The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (Ibid.) “But they need not be present in the same degree.” (Ibid.) “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” (Ibid.) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Ibid.)

The burden belongs to the party opposing arbitration. (See Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 795.)

Procedural Element: Plaintiff maintains that Pirate’s agreement “was imposed as a mandatory condition of employment.” (Opposition, p. 4.) He claims he “was not afforded any opportunity to negotiate the agreement’s terms and instead signed it through Pirate’s electronic onboarding process on a take-it-or-leave-it basis.” (Ibid.) Additionally, he states that, “[a]t the time he signed the agreement, [he] did not know what arbitration was, and no one explained the arbitration process, how it worked, or how signing the agreement could affect his ability to bring claims in court.” (Ibid.) He also contends the agreement does not attach the American Arbitration Association (“AAA”) rules. (See id. at p. 5.)

The Court finds the arguments unavailing. First, “a predispute arbitration agreement is not invalid merely because it is imposed as a condition of employment.” (Lagatree, supra, 74 Cal.App.4th at 1122.)

Second, failure

to read and understand is not a defense. (See Knight, Cal. Practice Guide: Alternative Dispute Resolution (The Rutter Group 2025) ¶ 5:90.) Third, Plaintiff's declaration fails to show that he requested extra time to read the onboarding documents or assistance from an attorney or other consultant to explain the meaning of the arbitration terms, and there is no statement stating that Pirate denied these requests, assuming they were made.

(See Correa-Perez Decl., ¶¶ 7-10.) Fourth, the language waiving the right to a jury trial is clear, conspicuous, capitalized, bolded, and repeated. (See Loza Decl. Ex. 1, p. 2.) Fifth, the AAA rules do not need to be

attached to the agreement. (See

Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1246 ["Baltazar's argument accordingly might have force if her unconscionability challenge concerned some element of the AAA rules of which she had been unaware when she signed the arbitration agreement. But her challenge to the enforcement of the agreement has nothing to do with the AAA rules; her challenge concerns only matters that were clearly delineated in the agreement she signed. Forever 21's failure to attach the AAA rules therefore does not affect our consideration of Baltazar's claims of substantive unconscionability."]; see also Davis v.

Kozak (2020) 53 Cal.App.5th 897, 908-910.)

Substantive Element: Plaintiff claims

(1) the scope is overbroad (see Opposition, p. 6 [citing Cook v. USC (2024) 102 Cal.App.5th 312]), (2) the duration is unlimited (see id. at pp. 6-7 [citing Cook]), and (3) the "fee-shifting provision requir[es] the losing party to pay the prevailing party's attorneys' fees and costs." (Id. at p. 7.)

Points (1) and (2) fail. The

Cook agreement possessed three unconscionable provisions. The overarching problem was the unlimited scope. (See Cook, supra, 102 Cal.App.5th at 321-325.) The USC agreement covered "all claims, whether or not arising out of Employee's University employment[.]" (Cook, supra, 102 Cal.App.5th at 321-325.) Nothing was excluded. (See id. at 317, 322-324.) By contrast, the reach of Pirate's agreement is expressly limited to employment matters.

(See Loza Decl., Ex. 1, p. 1 ["I agree that any controversy arising out of or relating to my employment, including my application for employment, whether brought by me or Pirate Staffing ('the Company') . . . shall be submitted to arbitration in California, in the County which I am employed or am seeking employment"], emphasis added.)

This material difference renders Cook distinguishable.[1]

Point (3) can

be fixed via severance. Pirate and

Matthews concede that the provision should be severed. (See Pirate's Motion, pp. 11-12; see also Matthews's Motion, pp. 9-11.)

The Court accepts the concession and will sever the fee-shifting sentence. (See Ramirez v. Charter

Communications, Inc. (2024) 16 Cal.5th 478, 513 [recognizing court discretion "to . . . sever any unconscionable clause"].)

Consequently,

the level of procedural unconscionability is low, the level of substantive unconscionability is low, the agreement, as modified, is enforceable, Pirate's motion to compel is granted, and the class claims are stricken.[2]

PAGA

Plaintiff

asserts that the agreement contains a wholesale waiver of PAGA claims, individual and representative:

The Agreement expressly excludes from arbitration "claims under Labor Code section 2698, et seq.[]" . . . Thus, by its plain terms, the Agreement excludes PAGA claims from arbitration. The Agreement further provides that neither party may pursue claims on behalf of any other person or entity and that the arbitrator lacks authority to adjudicate representative claims. These provisions independently confirm that PAGA claims fall outside the scope of arbitration.

This is because PAGA claims, whether characterized as "individual" or "representative," are not claims belonging to the employee. Rather, "[a] PAGA claim is legally and conceptually different from an employee's own suit for damages and statutory penalties. An employee suing under PAGA 'does so as the proxy or agent of the state's labor law enforcement agencies.'" Kim v. Reins International California, Inc. (2020) 9 Cal.5th 73, 81; see also Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal.4th 348, 381. Accordingly, even Plaintiff's so-called individual PAGA claim remains a claim arising under Labor Code section 2698 et seq. and asserted on behalf of an entity other than Plaintiff himself. Under the Agreement's plain language, such claims may not be asserted in arbitration.

(Opposition,  
p. 8; see also id. at pp. 7, 9.)

The  
Court is unpersuaded. The agreement  
states:

Except as otherwise required under  
applicable law, (1)

I and the Company expressly intend and agree that class action, collective action, representative action, multiple plaintiff, or any similar procedures, including but not limited to claims brought pursuant to California Labor Code §§2698, et seq. on behalf of others ("Class Action Claims") shall not be asserted, nor will they apply, in any arbitration pursuant to this Agreement; (2) I and the Company agree that each will not assert Class Action Claims against the other in arbitration or in any other forum; and (3) I and the Company shall only submit claims that relate to each's individual claims in arbitration and will not seek to represent the interests of any other person or entity. I understand that this means I can only seek relief for my own individual claims in arbitration, and therefore I cannot seek relief on behalf of any other parties, including but not limited to similarly aggrieved employees in arbitration. The Arbitrator's authority to resolve any dispute and to make written awards will be limited to my or the Company's individual claims. I and the Company further expressly intend and agree that only a court of competent jurisdiction and not an arbitrator may determine if all or part of this class action waiver is unenforceable, unconscionable, void, or voidable. If a court of competent jurisdiction finds that a dispute subject to this waiver is unenforceable for any reason, then such a dispute shall be litigated in a court of competent jurisdiction, but any portion of the waiver that remains valid shall be binding and enforceable in arbitration.

(Loza  
Decl., Ex. 1, p. 1, emphasis added.) The  
emphasized wording shows that the waiver only applies to class, collective, and representative claims. It is not a wholesale  
waiver. Plaintiff's individual PAGA  
claim and all other covered individual claims continue to be arbitrable.

The

analysis for the representative PAGA claim is different. The waiver encompasses representative PAGA claims, “[e]xcept as otherwise required under applicable law[.]” (Ibid., emphasis added.) Several cases address the relationship between the FAA and representative PAGA claims. The main one is *Viking River Cruises, Inc. v. Moriana* (2022) 142 S.Ct. 1906 (“Viking River”).

Prior

to *Viking River*, *Iskanian* controlled. “*Iskanian*’s principal rule prohibits waivers of ‘representative’ PAGA claims in the first sense.” (*Viking River*, supra, 142 S.Ct. at 1916.) “That is, it prevents parties from waiving representative standing to bring PAGA claims in a judicial or arbitral forum.” (Ibid., emphasis in original.) “But *Iskanian* also adopted a secondary rule that invalidates agreements to separately arbitrate or litigate ‘individual PAGA claims for Labor Code violations that an employee suffered,’ on the theory that resolving victim-specific claims in separate arbitrations does not serve the deterrent purpose of PAGA.” (Id. at 1916-1917; see also, e.g., *Knight*, supra, at ¶ 5:49.4m [citing California case law for the proposition that a “single count under PAGA could not be ‘split into an arbitrable individual claim and a nonarbitrable representative claim’”].)

In

*Viking River*, the plaintiff “executed an agreement to arbitrate any dispute arising out of her employment.” (*Viking River*, supra, 142 S.Ct. at 1916.) “The agreement contained a ‘Class Action Waiver’ providing that in any arbitral proceeding, the parties could not bring any dispute as a class, collective, or representative PAGA action.” (Ibid.) “It also contained a severability clause specifying that if the waiver was found invalid, any class, collective, representative, or PAGA action would presumptively be litigated in court.” (Ibid.) “But under that severability clause, if any ‘portion’ of the waiver remained valid, it would be ‘enforced in arbitration.’” (Ibid.)

“After leaving her position” with the defendant, the plaintiff “filed a PAGA action . . . in California court.” (Ibid.) “Her complaint contained a claim that [the defendant] had failed to provide her with her final wages within 72 hours, as required by” Labor Code sections 101 and 102. (Ibid.) “But the complaint

also asserted a wide array of other code violations allegedly sustained by other . . . employees, including violations of provisions concerning the minimum wage, overtime, meal periods, rest periods, timing of pay, and pay statements.” (Ibid.) The defendant “moved to compel arbitration of [the plaintiff’s] ‘individual’ PAGA claim” – i.e., “the claim that arose from the violation she suffered — and to dismiss her other PAGA claims.” (Ibid.) “The trial court denied that motion, and the California Court of Appeal affirmed, holding that categorical waivers of PAGA standing are contrary to state policy and that PAGA claims cannot be split into arbitrable individual claims and nonarbitrable ‘representative’ claims.” (Ibid.)

The Court of Appeal’s ruling “was dictated by . . . Iskanian.” (Ibid.) “Iskanian’s principal prohibition required the lower courts to treat the representative-action waiver” in Viking River “as invalid insofar as it was construed as a wholesale waiver of PAGA standing.” (Id. at 1917.) “The agreement’s severability clause, however, allowed enforcement of any ‘portion’ of the waiver that remained valid, so the agreement still would have permitted arbitration of [the plaintiff’s] individual PAGA claim even if wholesale enforcement was impossible.” (Ibid.) “But because” Iskanian “prohibits division of a PAGA action into constituent claims, the state courts refused to compel arbitration of that claim as well.” (Ibid.)

The United States Supreme Court granted review and reversed, holding that the FAA preempts Iskanian “insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate.” (Id. at 1924.) The opinion instructs:

This holding compels reversal in this case. The agreement between [the defendant] and [the plaintiff] purported to waive “representative” PAGA claims. Under Iskanian, this provision was invalid if construed as a wholesale waiver of PAGA claims. And under our holding, that aspect of Iskanian is not preempted by the FAA, so the agreement remains invalid insofar as it is interpreted in that manner. But the severability clause in



the agreement provides that if the waiver provision is invalid in some respect, any “portion” of the waiver that remains valid must still be “enforced in arbitration.” Based on this clause, [the defendant] was entitled to enforce the agreement insofar as it mandated arbitration of [the plaintiff’s] individual PAGA claim. The lower courts refused to do so based on the rule that PAGA actions cannot be divided into individual and non-individual claims. Under our holding, that rule is preempted, so [the defendant] is entitled to compel arbitration of [the plaintiff’s] individual claim.

(Id.  
at 1924-1925.)

The  
opinion continues:

The  
remaining question is what the lower courts should have done with [the plaintiff’s] non-individual claims.  
Under our holding in this case, those claims may not be dismissed simply because they are “representative.” Iskanian’s rule remains valid to that extent. But as we see it, PAGA  
provides no mechanism to enable a court to adjudicate non-individual PAGA claims once an individual claim has been committed to a separate proceeding. Under PAGA’s standing requirement, a plaintiff can maintain non-individual PAGA claims in an action only by virtue of also maintaining an individual claim in that action. [Citation.]  
When an employee’s own dispute is pared away from a PAGA action, the employee is no different from a member of the general public, and PAGA does not allow such persons to maintain suit.  
[Citation.] As a result, [the plaintiff] lacks statutory standing to continue to maintain her non-individual claims in court, and the correct course is to dismiss her remaining claims.

(Id. at 1925.)

Four  
takeaways stand out:

\*

Iskanian’s prohibition against waiving representative PAGA claims stands;

\*

Iskanian is preempted to the extent it bars dividing PAGA claims into individual and representative claims;

\*

the defendant is allowed to compel the plaintiff's individual PAGA claim to arbitration; and

\*

once the plaintiff's individual PAGA claim is compelled to arbitration, he or she lacks standing to maintain the representative PAGA claim.

The

High Court's standing ruling is nonbinding.

The California Supreme Court reversed it in *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104.

Considering

Iskanian, Viking River, and Adolph together, the standard approach in Department 11 has been to compel individual PAGA claims to arbitration and to stay representative PAGA claims until the arbitrations finish. The Court intends to do the same in Plaintiff's case.

Matthews

Plaintiff

insists that, because Matthews is a nonsignatory, it cannot enforce Pirate's agreement:

"One must be a party to an arbitration

agreement to be bound by it or invoke it." *Garcia v. Pexco, LLC* (2017)

11 Cal.App.5th 782, 785 (quoting *Westra v. Marcus & Millichap Real Estate Investment Brokerage Co., Inc.* (2005) 129 Cal.App.4th 759, 763.)

Matthews is not a party to the Arbitration Agreement. By its plain terms, the Agreement applies only to disputes between Plaintiff and Pirate Staffing, identified throughout the Agreement as "the Company." The Agreement provides that covered disputes include those "brought by me or Pirate Staffing ('the Company')." Matthews is not identified anywhere in the Agreement as a party, client, affiliate, subsidiary, customer, beneficiary, or otherwise, nor is

there any language indicating that the Agreement would otherwise extend to such third parties. . . .

(Opposition,  
p. 9; see also id. at pp. 10-12.)

This

argument fails. It is well settled that “[c]ertain persons who did not sign the agreement to arbitrate may be entitled to enforce it and prosecute the arbitration in their own names.” (Knight, et al., Cal. Practice

Guide: Alternative Dispute Resolution (The Rutter Group 2025) ¶ 5:262.) The rule applies in numerous instances. (See id. at ¶¶ 5:263, 5:265.7,

5:266.5, 5:266.7, 5:266.15 [either when the nonsignatory is a third-party beneficiary, employee, associate, agent, or assign or when equitable estoppel applies]; see also Marengo

v. DirecTV LLC (2015)

233 Cal.App.4th 1409, 1419-1420 [holding that “a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are ‘intimately founded in and intertwined’ with the underlying contract obligations”].) At least two of those (agency and equitable estoppel) appear applicable. (See, e.g., First Amended Complaint, ¶¶ 10, 13 [alleging that all Defendants were agents of each other, joint venturers, and joint employers]; see also, e.g., 6/5/26 Joint Stipulation for Leave to File Second Amended Complaint, Ex. A, ¶¶ 10, 13 [attaching proposed amended complaint and alleging the same]; Garcia, supra, 11 Cal.App.5th at 787-788 [applying the agency and equitable-estoppel examples in a joint-employer lawsuit]; Knight, supra, at ¶ 5:266.18a [discussing Garcia].)

Defendants’

motion to compel arbitration is granted. The attorney fee provision of the arbitration agreement is severed from it and unenforceable in this case. Plaintiff’s individual wage and hour claims are sent to arbitration. Representative PAGA claims are stayed. The court will set a post arbitration status conference at the hearing.

[1] The USC agreement

had an express provision regarding duration.

Pirate’s agreement is silent. Regardless,

though, even assuming Plaintiff’s duration challenge is correct, showing, at most,

only one of the Cook defects – and not the overarching one – is not enough to deny enforcement and to defeat the motion to compel.

[2] Since the FAA controls, the class waiver is enforceable. (See, e.g., Knight, supra, at ¶ 5:49.4c [discussing AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333]; see also Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal.4th 348, 359-360 [finding that the FAA preempts “a state’s refusal to enforce [] a [class] waiver on grounds of public policy or unconscionability”].)